

# SWANCORE INDIA

## Product Risk Warning

Effective: January 5, 2026 | For Indian users of the Swancore platform

**Important Notice:** Please read this document carefully. It outlines the key risks associated with specific Swancore products. This is not exhaustive — you should seek independent financial advice before using any of the products described below.

### 1. Swancore Gift Cards

Please be aware that any request from a non-Swancore entity or individual asking you to use Swancore Gift Cards as payment for goods or services may be a scam. Exercise caution. Swancore accepts no responsibility for Gift Cards that are lost, stolen, destroyed, or used without your authorisation.

### 2. RWUSD

**Nature of RWUSD.** RWUSD has no direct linkage to any real-world asset, security, or financial instrument. Participation in RWUSD does not grant you ownership of, or rights in, any underlying asset. RWUSD serves solely as a digital representation of your product subscription. All associated rewards are entirely discretionary and may be modified, suspended, or terminated by Swancore at any time without notice.

**Regulatory Status.** RWUSD is not a regulated financial instrument, security, or investment contract under any applicable law. No regulatory approval has been obtained in relation to RWUSD, and none should be inferred. RWUSD is not available to U.S. persons and has not been registered under U.S. securities laws.

#### Key Risks of RWUSD

- **Market Risk:** The value of eligible assets may fluctuate. No assurance can be given as to the stability or liquidity of such assets at any time.
- **Operational Risk:** Delays or disruptions in processing redemptions may occur due to technical or compliance-related issues.
- **Third-Party Risk:** Assets committed to RWUSD become Swancore's property for service operation purposes. Swancore may deploy these assets with third parties, and there is a risk they may not be recovered, potentially delaying or preventing redemptions.
- **Regulatory Risk:** Changes in laws or government policy regarding digital assets may affect your ability to redeem RWUSD or access eligible assets.
- **No Deposit Protection:** RWUSD does not constitute a deposit and is not covered by any statutory deposit guarantee or government supervision scheme.
- **Tax Obligations:** You are solely responsible for determining and meeting any tax obligations arising from participation in RWUSD. Please consult a qualified tax adviser.
- **No Parity Guarantee:** All redemptions will be made in eligible assets as defined, regardless of the type of asset originally deposited.

**Please note:** In certain circumstances — such as a major security incident, extreme market volatility, or systemic disruption — Swancore may not have sufficient assets readily available to process RWUSD redemptions promptly. This could result in delays in returning all or part of your RWUSD balance.

### 3. Portfolio Margin Program

**High Risk:** Margin Trading is a leveraged product that is complex and may not be suitable for inexperienced investors. You may lose more than you invest. Please seek independent financial advice before proceeding.

#### Key Risks

- Leverage amplifies both gains and losses. Even a small adverse price movement can result in significant losses, including the full loss of your deposited margin.
- You may be required to deposit additional margin at short notice. Failure to do so may result in your positions being liquidated without prior notice.
- Swancore has sole discretion over which assets or positions are liquidated during a margin call. Swancore is not required to act in your best interests in this regard.
- Swancore may increase or decrease margin requirements at any time without prior notice. It is your sole responsibility to monitor your positions and ensure margin requirements are met at all times.
- You are not entitled to additional time to meet a margin call. Upon receiving a margin call, you must deposit the required eligible margin to the nominated account immediately.
- If eligible margin falls below the required threshold, Swancore may sell assets in your nominated account to recover any shortfall — without notice. You remain liable for any deficit after liquidation.
- Legislative or regulatory changes may adversely affect the value, transfer, or exchange of virtual assets, or result in the suspension of the Portfolio Margin Program.
- The program relies on computer systems and internet connectivity. Technical failures may cause improper or failed order execution.

### 4. Margin Services

The risks applicable to Margin Services are substantially similar to those described under the Portfolio Margin Program above. The following additional points are relevant:

- You may sustain losses in excess of the margin you have deposited with Swancore.
- Swancore may liquidate your margin or positions without issuing a prior margin call or providing advance notice.
- Swancore has absolute discretion to determine which positions to liquidate in order to protect its own interests.
- Regulatory changes may render the Margin Services unavailable, potentially resulting in forced liquidations and losses.
- System or internet failures may result in improper execution or non-execution of your orders.

### 5. Swancore Square

Content relating to digital assets on Swancore Square is provided for general informational purposes only and does not constitute investment advice. Swancore does not curate third-party content but takes reasonable steps to

moderate it in line with our Community Guidelines. You should conduct your own research and seek independent professional advice before making any investment decisions. Swancore accepts no responsibility for the accuracy or completeness of third-party content.

## 6. Deferred Send

Deferred Send is a standing payment instruction that may be executed when a specified trigger event occurs. Please be aware of the following:

- Swancore may suspend, delay, or refuse to act on a Deferred Send instruction where it is unclear, incomplete, disputed, or may conflict with applicable law, sanctions, or regulatory obligations.
- If a Swancore account holder is deceased or if there are competing claims over account assets, execution may be suspended pending verification of the appropriate legal documentation.
- Conversions or close-outs executed in connection with Deferred Send are subject to prevailing market conditions, including price volatility, liquidity constraints, and spreads. You may receive less favourable prices as a result.
- Standard trading fees and applicable charges apply to transactions carried out under Deferred Send, reducing the net amounts transferred to recipients.
- You are responsible for ensuring that your Deferred Send instructions — including recipient details and asset directions — are accurate and up to date. Incorrect instructions may lead to delays or failed execution.
- You remain responsible for all liabilities connected with your Swancore account, including loans, fees, interest, and other charges, even after Deferred Send has been triggered.

## 7. Leveraged Trading

**High Risk:** Trading with leverage carries significant risk. Even a modest market movement can result in a disproportionately large impact on your deposited funds. You may lose your entire initial margin and, in exceptional cases, be liable for additional amounts beyond what you have deposited. If you are unable to meet a margin call promptly, your position may be liquidated at a loss and you may remain liable for any resulting deficit.

## 8. Trading Bots

The risks associated with Trading Bots are set out in the Swancore Trading Bots Product Terms, which may be updated from time to time. Please review those terms carefully before using any automated trading feature.

## 9. Alpha Tokens

Alpha Tokens are digital assets that are less established, more volatile, and less liquid than tokens listed on the main Spot market. They may have limited trading history, lower market capitalisation, and reduced price transparency. In addition to the general risks associated with digital assets, Alpha Tokens carry the following specific risks:

- **Market Risk:** Values may fluctuate dramatically. Due to low liquidity and limited market depth, Alpha Tokens are more susceptible to manipulation and unpredictable price swings.
- **Project Risk:** Alpha Tokens are typically associated with early-stage projects. These projects may fail, be suspended, or be delisted. Available information may be limited or rapidly changing.

- **Liquidity Risk:** There is no assurance of liquidity. You may be unable to exit your position at your desired price or time.

## 10. Perpetual Futures on Traditional Assets (TradFi Perps)

TradFi Perps carry a distinct risk profile compared to other perpetual futures, due to the nature of their underlying traditional assets (such as equities and commodities):

- Prices may be significantly affected by political, regulatory, economic, and environmental factors specific to the underlying asset.
- TradFi Perps are tradeable 24/7, even when the underlying traditional asset market is closed. This can lead to heightened price volatility and wider funding rate fluctuations outside standard market hours.
- The market price of TradFi Perps may not reflect the fair value of the underlying asset. Contracts may be adjusted or relisted to reflect corporate actions, and adjusted prices may diverge from the underlying.
- Mark Prices are derived from third-party Data Vendors, not directly from the relevant exchange. Data Vendor prices may diverge from publicly quoted prices, and Swancore is not responsible for any data provided by Data Vendors.
- External events — including trading suspensions, exchange closures, or force majeure events — may affect pricing and liquidity for TradFi Perps.
- TradFi Perps do not represent ownership of the underlying asset and do not confer any rights (including dividends, distributions, or voting rights) in the underlying equity security.
- You are exposed to the credit risk of your counterparties, and — where TradFi Perps reference equity securities — to the credit risk of the relevant issuer.

## 11. Specific Digital Assets (FDUSD, TUSD, XUSD, EURI)

**Regulatory Notice:** The digital assets FDUSD, TUSD, XUSD, and EURI are not recognised as Fiat-Referenced Tokens (FRTs) by the relevant regulatory authority and are not included on the list of accepted FRTs. These assets are not regulated or supervised by that authority. Please exercise appropriate caution and conduct your own due diligence before transacting in or holding these assets.

### Associated Risks

- Although designed to maintain a stable value, these assets may depeg due to market conditions, regulatory developments, or operational failures, resulting in significant price fluctuations or loss of value.
- Depegging events may reduce liquidity, making it difficult to execute trades or exit positions at favourable rates.
- The stability of these assets depends on the creditworthiness and operational resilience of their issuers. Any doubt about an issuer's ability to maintain sufficient reserves may amplify depegging risks.
- As centrally issued assets, they are subject to counterparty risks, including potential regulatory actions or technical failures by the issuer.
- A depegging event may have a contagion effect on related assets, trading venues, or markets where these assets are used as collateral or for settlement.
- You are encouraged to monitor market conditions and issuer announcements regularly, and to diversify your collateral and funding sources where possible.

- There is no guarantee that any of these assets will maintain their intended value parity under all circumstances.